BIRKEN LOFTS

401 W Ontario Street, Chicago, IL 60654

57 Luxury Loft Apartments in River North

MONROE RESIDENTIAL PARTNERS

MULTIFAMILY ADAPTIVE REUSE EQUITY INVESTMENT

Risks & Disclosures

This Confidential Memorandum ("Memorandum") has been prepared by Monroe Residential Partners LLC ("MRP") and Belgravia Group, Ltd. ("BG") and delivered to you for your use in considering your interest in the multifamily adaptive reuse project referred to herein as Birken Lofts located at 401 W Ontario St in Chicago, IL (the "Property"). No offer to sell or solicitation or an offer to buy the Property is being made by this Memorandum. This Memorandum is merely an introductory document to enable you to consider whether to make an investment in the Property (a "Transaction"). Any such Transaction shall be effected only by written agreement duly authorized and signed by the parties.

The information contained herein has been prepared to assist you in making your own evaluation of the Property but does not purport to contain all of the information that you may need or desire in connection with any Transaction. In all cases, you should conduct your own investigation and analysis of the Property and the information set forth in this Memorandum. MRP and/or BG make no representations or warranties as to the accuracy or completeness of this Memorandum and shall not have any liability for any representations (expressed or implied) contained in, or for any omissions from this Memorandum or any other written or oral communication or information transmitted to you in the course of your evaluation of the Property. Any and all representations to be made in connection with a Transaction will be set forth in a definitive written agreement.

This Memorandum includes certain statements, estimates and projections provided by MRP and BG with respect to the anticipated future performance of expected operations and other matters. Such statements, estimates and projections reflect various assumptions concerning anticipated results, even though these assumptions may or may not prove to be correct. No representations or warranties are made as to the reasonableness of such assumptions or accuracy of such statements, estimates or projections. MRP and BG, both collectively and individually, do not undertake any obligation to provide additional information or to correct or update, modify or supplement any of the information set forth in this Memorandum.

This Memorandum contains summaries, believed by MRP & BG to be accurate based upon information available to MRP & BG.

By accepting this Memorandum, you acknowledge and agree that all information contained herein is confidential. Without limiting the generality of the foregoing: (i) you will not disclose to any other person the fact that this Memorandum has been provided to you, (ii) you will not reproduce this Memorandum or disclose the contents herein to any other person, in whole or in part, without the prior written consent of MRP and BG, and will use this Memorandum solely for the purpose of evaluating a potential Transaction, and (iii) if you do not wish to pursue this matter, or if MRP or BG should so request at any time or for any reason, you will return this Memorandum to MRP promptly, together with any other materials relating to the Property which you may have received from MRP and/or BG. Any proposed actions by you that are inconsistent in any manner with the foregoing agreements will require the prior written consent of MRP and BG.

MRP and/or BG reserve the right to terminate, at any time, discussions with you or the further participation in the investigation and proposal process by any party. You are not to disclose your involvement in any such process to any person and are not to contact directly any of the owners, managers, officers or employees of the Property without the prior written consent of MRP and BG. All communications and inquiries relating to the Property, this Memorandum or any Transaction process are to be addressed to Monroe Residential Partners.

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Drew Friestedt
Principal
Monroe Residential Partners
312 206 6211
drew@monroeresidential.com

Jonathan W. McCulloch
CEO
Belgravia Group
312 561 5253
jonathan@belgraviagroup.com

Mike Obloy
Principal
Monroe Residential Partners
312 296 4855
mike@monroeresidential.com

Alan D. Lev
Chairman
Belgravia Group
312 561 5216
alan@belgraviagroup.com

Executive Summary

Monroe Residential Partners ("MRP") and Belgravia Group ("BG") (collectively "BGM") are seeking to raise equity to acquire and develop 401 W Ontario St in Chicago, IL (the "Property").

BGM intends to redevelop the Property into 57 market rate apartments (the "Project" aka "Birken Lofts"). BGM is under contract to close on the Property and will finance the purchase with an already approved 65% LTV acquisition loan from Lakeside Bank. The initial acquisition loan has a 12-month term and will be replaced with a construction loan upon the start of construction, estimated to be in October 2026.

The Property was foreclosed in October 2024 and is being purchased via the court appointed Receiver. As of November 17, 2025, the court has approved the sale with a closing date on or about December 15, 2025.

The Property currently operates as a 50% occupied loft office building with 11 tenants. During diligence, BGM spoke with every tenant to discuss their lease and our plan to redevelop the Property. Of the 11 tenants, two are month-to-month, eight have leases expiring prior to October 2026, and one has term beyond our intended construction start date. The tenant with extended term occupies only 1,010 SF and is agreeable to relocate prior to October 2026. Following the Property acquisition, MRP will manage the Property and its existing tenants until construction commencement.

The Property has favorable DX-7 zoning, and will not require a rezoning. However, BGM will need to seek Special Use from the Zoning Board of Appeals for ground floor residential, amongst other minor variations. We have engaged the Alderman's office as well as zoning attorney Nick Ftikas with Samuel V.P. Banks and have begun working through the process. Initial feedback from the Alderman has been positive. We're targeting ZBA approval in March 2026 followed by building permit submission in early May to be in a position to begin construction October 2026.

Executive Summary

Initial Acquisition Requirements:

BGM seeks to raise $2,000,000 from Acquisition Investors to acquire the Property.

To date, BGM has funded $300,000 of Earnest Money Deposits and $40,000 of initial design and pursuit.

BGM will co-invest an estimated additional $510,000, totaling $850,000, alongside the Acquisition Investors to design, entitle, and advance the project into a position to pull building permits, close on construction financing, and commence work in October 2026.

Acquisition Investors will be provided a promissory note for their investment.

Acquisition, Design & Entitlement Budget	
Sources	
Lakeside Bank Acquisition Loan	$3,530,394
BGM Investment	$850,000
Acquisition Investors	$2,000,000
Office Rental Income (12/15/2025 - 9/30/2026)	$325,146
Total Sources	**$6,705,540**
Uses	
Property Purchase Price (Less: $200k Seller Credits)	$5,231,375
Seller Credits: Sidewalk Vault & HVAC Repair Escrow	$200,000
Estimated RE Tax Credit @ Closing	($299,756)
Estimated 2025 Pay 2026 RE Tax Due	$314,399
Closing Costs (Legal, Lender Fee, Transfer Tax, Broker Fee)	$191,713
Acquisition Loan Interest Reserve	$255,955
Property Insurance Paid at Closing	$47,500
Office Operating Expense excl. RE Tax & Ins. (12/15/2025 - 9/30/2026)	$174,447
Project Design - Westfield Architects	$272,550
Zoning Attorney - Samuel V.P. Banks	$17,000
Misc. Diligence	$10,000
Early Lease Termination - Dr. Lisa M. Schoene, D.P.M., P.C.	$100,000
Building Permit	$55,000
Contingency	$135,356
Total Uses	**$6,705,540**

Executive Summary

Acquisition Investors and BGM will earn a 10% preferred return on invested capital with the option to either roll their preferred return into the development phase of the project or receive payment of the preferred return upon commencement of construction.

In the event the Property is sold undeveloped, priority is as follows:

1. Return of Acquisition Investors' capital
2. Return of BGM's capital
3. 10% xIRR to Acquisition Investors and BGM, pari passu
4. 50/50 split to Acquisition Investors and BGM

Upon closing of the construction loan, Acquisition Investors will receive a Limited Partner (Class A) interest in the development entity equal to the sum of their acquisition investment plus all previously accrued preferred return, unless electing for preferred return payout.

Executive Summary

Address:	401 W Ontario St Chicago, IL
Building GSF:	48,328 SF above grade
# of Levels:	4 + Basement
Purchase Price:	$5,431,375 | $112/GSF
Total Units:	57 Units
Average Unit Size:	699 SF
Total Development Cost:	$19,044,552
Building Purchase:	December 2025
Construction Start:	October 2026
Development Period:	4 Years
Projected Sale Date:	September 2030

Project Overview

401 W. ONTARIO STREET

ADAPTIVE RE-USE SCHEMATIC DESIGN
PREPARED FOR: MONROE RESIDENTIAL PARTNERS
PREPARED BY: WESTFIELD ARCHITECTS

UNIT AREAS: (1ST FLOOR)

UNIT 101:	700 FT²
UNIT 102:	1,242 FT²
UNIT 103:	440 FT²
UNIT 104:	740 FT²
UNIT 105:	1,023 FT²
UNIT 106:	661 FT²
UNIT 107:	1,023 FT²
UNIT 108:	608 FT²
UNIT 109:	1,023 FT²
UNIT 110:	656 FT²
UNIT 111:	934 FT²
UNIT 112:	954 FT²

UNIT AREAS: (2ND- 4TH FLOORS)

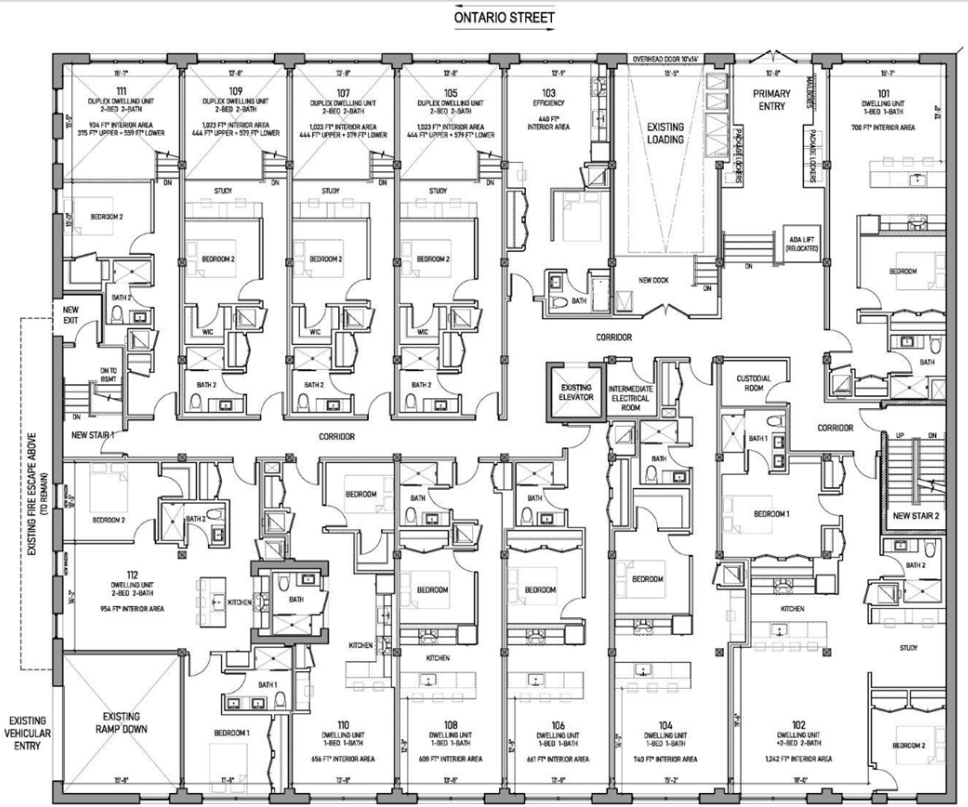
UNIT X01:	690 FT²
UNIT X02:	600 FT²
UNIT X03:	640 FT²
UNIT X04:	589 FT²
UNIT X05:	585 FT²
UNIT X06:	600 FT²
UNIT X07:	580 FT²
UNIT X08:	600FT²
UNIT X09:	628 FT²
UNIT X10:	600 FT²
UNIT X11:	636 FT²
UNIT X12:	1,053 FT²
UNIT X13:	636 FT²
UNIT X14:	836 FT²
UNIT X15:	670 FT²

UNIT TYPE TOTALS:

EFFICIENCY:	1
DWELLING UNIT (1 BED - 1 BATH):	44
DWELLING UNIT (2 BED - 2 BATH):	12
TOTAL RESIDENTIAL UNITS:	57

LOWER LEVEL
UNIT 111

TYPICAL LOWER LEVEL
UNITS 109 107 105



FIRST FLOOR PLAN
NOT TO SCALE

Project Overview

401 W. ONTARIO STREET

ADAPTIVE RE-USE SCHEMATIC DESIGN
PREPARED FOR: MONROE RESIDENTIAL PARTNERS
PREPARED BY: WESTFIELD ARCHITECTS

UNIT AREAS: (1ST FLOOR)		UNIT AREAS: (2ND- 4TH FLOORS)	
UNIT 101:	700 FT²	UNIT X01:	690 FT²
UNIT 102:	1,242 FT²	UNIT X02:	600 FT²
UNIT 103:	440 FT²	UNIT X03:	640 FT²
UNIT 104:	740 FT²	UNIT X04:	589 FT²
UNIT 105:	1,023 FT²	UNIT X05:	585 FT²
UNIT 106:	661 FT²	UNIT X06:	600 FT²
UNIT 107:	1,023 FT²	UNIT X07:	580 FT²
UNIT 108:	688 FT²	UNIT X08:	600FT²
UNIT 109:	1,023 FT²	UNIT X09:	628 FT²
UNIT 110:	645 FT²	UNIT X10:	600 FT²
UNIT 111:	934 FT²	UNIT X11:	636 FT²
UNIT 112:	965 FT²	UNIT X12:	1,053 FT²
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UNIT TYPE TOTALS:

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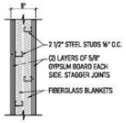
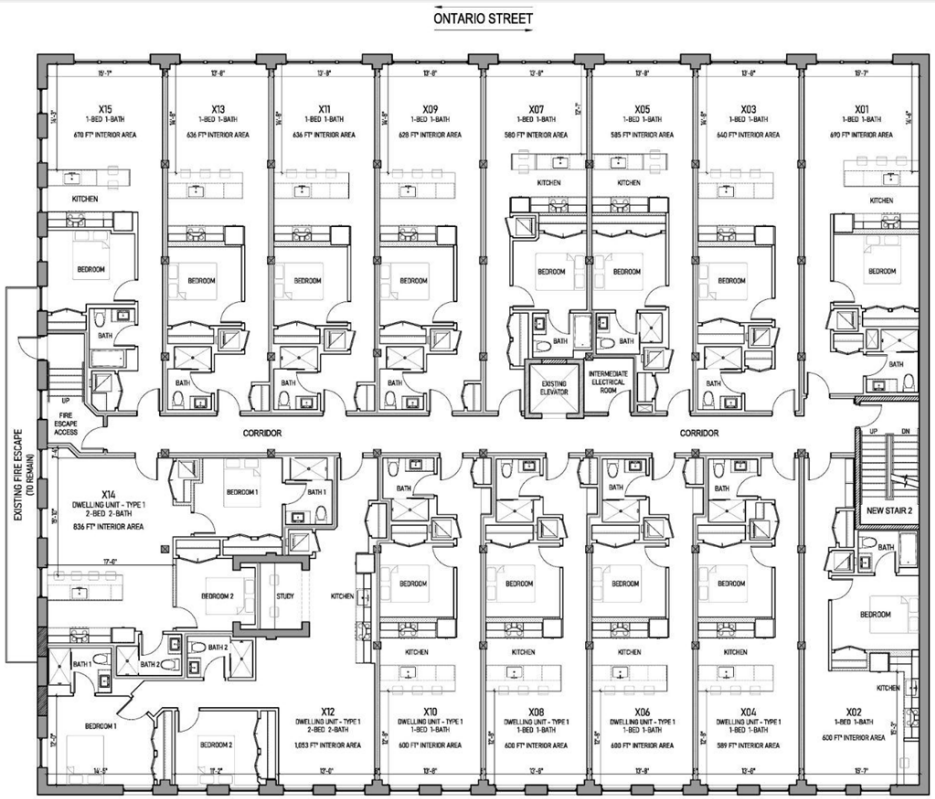
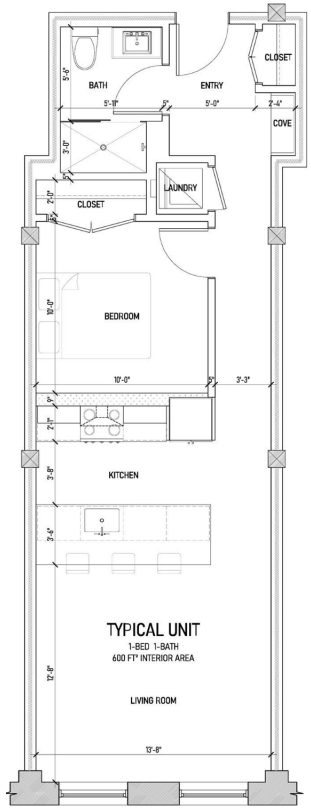


DEMISING WALL DETAIL
ESTIMATED STC 60



TYPICAL FLOOR PLAN (LEVELS 2-4)
NOT TO SCALE

Project Overview



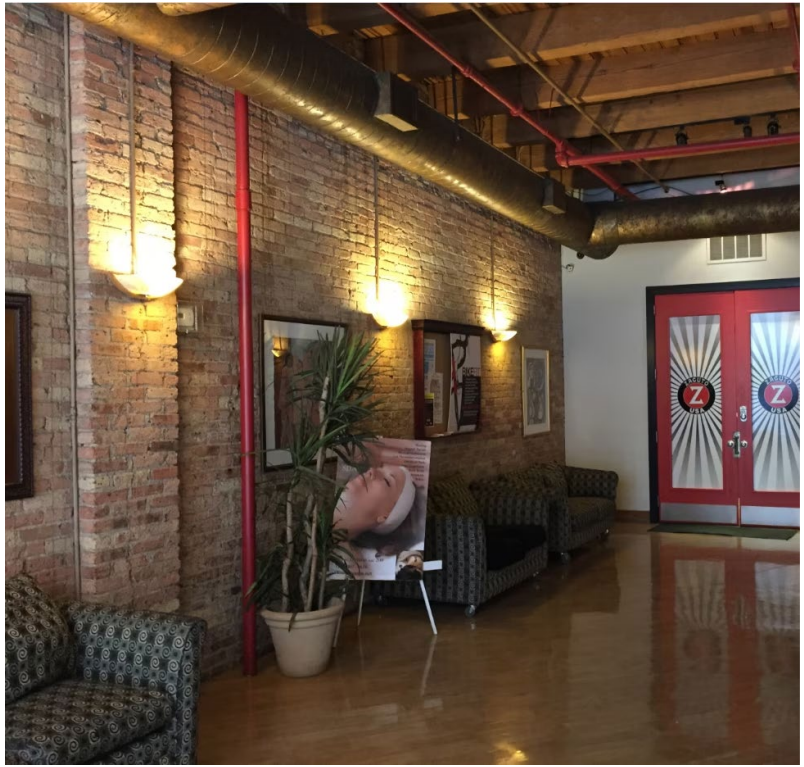
Typical 1 Bedroom / 1 Bathroom Unit Layout

This 600 SF 1 bed/1 bath will be our most common layout, representing 12 of the 57 units in the Project. There are 17 additional units ranging from 628 to 670 SF with similar layout characteristics.

The Property's existing dimensions, approximate 14' column spacing, and light on three sides will provide an ideal configuration for residential adaptive reuse.

Project Overview

Current Interior Conditions



Project Overview

Current Interior Conditions

Project Overview

Current Interior Conditions

Project Overview

December 2025	October 2026	December 2027	October 2028	September 2030
Acquire Property	**Commence Construction**	**Complete Construction**	**Achieve Stabilized Occupancy**	**Sell Birken Lofts**
Close on the Property by December 15, 2025. Spend the next 11 months managing existing office tenants while designing, entitling & permitting the Project.	Complete design, entitlements & permitting. Close on debt & equity construction financing, begin construction.	14 Month construction duration	Pro forma assumption of 11-month lease-up to reach 95% Occupancy.	Sale price of $451k/unit based on a 5.75% exit cap

Development Investment Summary

Upon commencement of construction and opening of the construction loan, Acquisition Investors' principal investment (with accrued interest, if elected) will become Class A Membership Interests in the development entity. The Project's total equity requirement is estimated to be approximately $5.7M, of which BGM will co-invest no less than $850,000 in Class A Membership Interests.
Class A Members represent all equity investors in the Project. Class B Members represent BGM's non-equity Promote interest.

The Project's Promote Structure for the development phase is as follows:

Promote Structure (Cash Flow from Operations)

1. Class A receives an 8% annual, cumulative non-compounding return on investment ("Preferred Return")
2. 50% to Class A / 50% to Class B

Promote Structure (Capital Event - Refinance or Sale)

1. Payment of any outstanding/accrued Preferred Return to Class A Members
2. Return of Class A Capital contributions (8% XIRR)
3. 50% to Class A Members / 50% to Class B Members until Class A Members receive a 20% XIRR
4. 35% to Class A Members / 65% to Class B Members thereafter

Class A Members are projected to receive an IRR of approximately 17.2% and Equity Multiple of 1.8x, predicated on sale at forty-eight months at 5.75% exit cap rate. While the development plan is to convert, stabilize, and sell the asset within approximately three to five years, BGM may elect to hold the asset for a longer duration.

Financials

Sources	%	Total	Per Unit	Per NRSF	Per GSF
Equity	30.0%	5,713,552	100,238	143	118
Construction Loan	70.0%	13,331,000	233,877	335	276
Total Sources	**100.0%**	**$ 19,044,552**	**$334,115**	**$ 478**	**$ 394**

Uses	%	Total	Per Unit	Per NRSF	Per GSF
Land	30.1%	5,741,644	100,731	144	119
Hard Costs	48.8%	9,303,140	163,213	234	193
Soft Costs	21.0%	3,999,768	70,171	100	83
Total Uses	**100.0%**	**$ 19,044,552**	**$334,115**	**$ 478**	**$ 394**

Unit Mix	Count	% Mix	Unit SF	Rent*	PSF
1 Bed / 1 Bath	45	78.9%	621	$ 2,586	$ 4.16
2 Bed / 2 Bath	12	21.1%	989	$ 3,942	$ 3.99
Total / Wtd. Avg.	**57**	**100.0%**	**699**	**$ 2,871**	**$ 4.11**

Pro Forma Returns & Assumptions	
Stabilized Return on Cost - Untrended	6.9%
Stabilized Return on Cost - Trended	7.4%
Annual Income & Expense Growth Rat	3.0%
Hold Period	4 Years
Sale Date	9/30/2030
Exit Cap Rate	5.75%
Exit Sale Price	$25,753,845
Exit Sale Price per Unit	$ 451,822
Sale Premium above TDC	35.2%
Equity Investor Profit	$ 4,680,042
Equity Investor IRR	17.2%
Equity Investor Equity Multiple	1.82x

*Reflects untrended starting rents as of January 2026. Trended are grown at 3.0% per annum thereafter.

Financials

Revenue	Untrended*	Per Unit	Per Month	%	Trended*	Per Unit	Per Month	%
Gross Residential Income	$ 1,963,800	$ 34,453	$ 2,871	100.1%	$ 2,131,670	$ 37,398	$ 3,116	99.5%
Vacancy / Collection Loss 5.0%	(98,190)	(1,723)	(144)	-5.0%	(96,269)	(1,689)	(141)	-4.5%
Net Rental Income	**$ 1,865,610**	**$ 32,730**	**$ 2,728**	**95.1%**	**$ 2,035,401**	**$ 35,709**	**$ 2,976**	**95.0%**
Other Income	95,846	1,682	140	4.9%	106,963	1,877	156	5.0%
Total Revenue	**$ 1,961,456**	**$ 34,412**	**$ 2,868**	**100.0%**	**$ 2,142,364**	**$ 37,585**	**$ 3,132**	**100.0%**
Operating Expenses								
Contracted Services	49,800	874	73	2.5%	54,718	960	80	2.6%
Utilities	47,940	841	70	2.4%	52,674	924	77	2.5%
Apartment Turn Over Costs	20,700	363	30	1.1%	22,744	399	33	1.1%
Repairs & Maintenance	37,312	655	55	1.9%	64,912	1,139	95	3.0%
Marketing	65,460	1,148	96	3.3%	71,924	1,262	105	3.4%
Office & Administrative	2,000	35	3	0.1%	2,198	39	3	0.1%
Management Expense 4.0%	78,458	1,376	115	4.0%	85,695	1,503	125	4.0%
Real Estate Taxes	295,000	5,175	431	15.0%	324,131	5,687	474	15.1%
Insurance	42,750	750	63	2.2%	46,972	824	69	2.2%
Capital Reserves	14,250	250	21	0.7%	14,250	250	21	0.7%
Total Operating Expenses	**$ 653,670**	**$ 11,468**	**$ 956**	**33.3%**	**$ 740,217**	**$12,986**	**$ 1,082**	**34.6%**
Net Operating Income	**$1,307,785**	**$ 22,944**	**$ 1,912**	**66.7%**	**$1,402,148**	**$24,599**	**$ 2,050**	**65.4%**
Stabilized Return on Cost		**6.9%**				**7.4%**		

Stabilized Date	10/31/2028
Annual Rev. Growth	3.0%
Annual Exp. Growth	3.0%
Stabilized Occupancy	**95.0%**

*Untrended Income and Expense as of January 2026. Trended are grown at 3.0% per annum

Net Operating Income	**$1,307,641**	**$ 22,941**	**$ 1,912**	**67.2%**	**$1,402,313**	**$24,602**	**$ 2,050**	**66.0%**
Real Estate Taxes	280,702	4,925	410	14.4%	308,421	5,411	451	14.5%

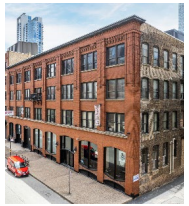
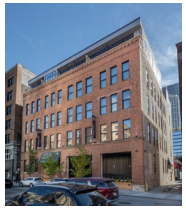
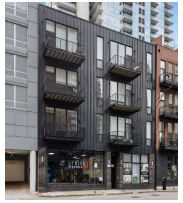
Financials

Development Costs Summary				401 W. Ontario | Chicago
Description	**Budget**	**Per Unit**	**Per GSF**	**Per NRSF**
Land	5,817,739	102,066	120	146
Hard Costs - General Contractor	8,880,270	155,794	184	223
Hard Costs Contingency	422,870	7,419	9	11
Engineering	5,000	88	0	0
Environmental	10,000	175	0	0
Survey	10,000	175	0	0
Architecture / MEP / Interior Desig	367,950	6,455	8	9
Legal, Title and Closing	143,670	2,521	3	4
Taxes and Insurance	771,000	13,526	16	19
Financing - Equity	222,466	3,903	5	6
Financing - Debt	181,310	3,181	4	5
Municipal & Impact Fees	65,000	1,140	1	2
Construction Loan Interest Reserve	907,976	15,929	19	23
Operating Reserve	213,799	3,751	4	5
Marketing & Start Up Expenses	213,650	3,748	4	5
FF&E	60,000	1,053	1	2
Commercial*	(101,149)	(1,775)	(2)	(3)
Soft Cost Contingency	91,000	1,596	2	2
Development Fees	762,000	13,368	16	19
Total Development Costs	**$ 19,044,552**	**$ 334,115**	**$ 394**	**$ 478**

*The Commercial budget is comprised of: (1) $100k for tenant relocation and (2) $201k of positive NOI during the 9.5 month interim period excluding real estate taxes which are budgeted separately.

Financials

Rent Comps

		Adaptive Reuse Properties within 0.7 Miles of Birken Lofts				
						
Property Name	**Birken Lofts**	**Paper Box Lofts**	**Germain House**	**318 W Grand**	**375 W Erie St**	**225 W Huron St**
Address	401 W Ontario St	153 W Ohio St	729 N Sangamon St	318 W Grand Ave	375 W Erie St	225 W Huron St
Units	57	35	36	13	106	100
Renovated	2027	2024	2018	2023	2019	2006
One Bedroom Units						
Avg. Market Rent per Unit	$2,586	$2,878	$2,645	-	$3,450	$2,650
Avg. SF per Unit	621	735	571	-	1,000	888
Avg. Rent per SF	$4.16	$3.92	$4.63	-	$3.45	$2.98
Two Bedroom Units						
Avg. Market Rent per Unit	$3,942	$4,352	$3,975	$4,500	$3,600	-
Avg. SF per Unit	989	1,098	1,060	1,045	1,200	-
Avg. Rent per SF	$3.99	$3.96	$3.75	$4.31	$3.00	-
Notes:				*Partially furnished*	*2br/1ba rents*	

Financials

High-Rise Amenitized Properties within 0.3 Miles of Birken Lofts

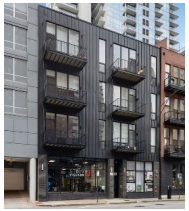
Rent Comps

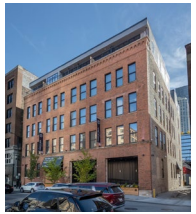
Property Name	**Birken Lofts**	**Kingsbury Plaza**	**Parc Huron**	**Marlowe**	**Hubbard Place**	**369 Grand by Onr**
Address	401 W Ontario St	520 N Kingsbury	469 W Huron	169 W Huron	360 W Hubbard	369 W Grand
Units	57	420	221	176	450	356
Renovated/Built	2027	2007	2010	2018	2013	2021
One Bedroom Units						
Avg. Market Rent per Unit	$2,586	$3,336	$2,998	$3,132	$3,270	$3,194
Avg. SF per Unit	621	914	800	701	847	677
Avg. Rent per SF	$4.16	$3.65	$3.75	$4.47	$3.86	$4.72
Two Bedroom Units						
Avg. Market Rent per Unit	$3,942	$4,407	$4,325	$4,400	$4,846	$4,426
Avg. SF per Unit	989	1,277	1,185	1,114	1,275	1,118
Avg. Rent per SF	$3.99	$3.45	$3.65	$3.95	$3.80	$3.96

Notes: *Comp rents based on units rented over last 90 days, as of 11/11/25. Rent figures reflect average asking rent.*

Financials

Sale Comps





Property Name	**Birken Lofts**	**318 W Grand**	**3140 N Clybourn**	**Low Line Commons**	**558 W Webster**	**Paper Box Lofts**
Address	401 W Ontario St	318 W Grand Ave	3140 N Clybourn	3431 N Ashland	558 W Webster	153 W Ohio St
Units	57	13	39	95	79	35
Built/Renovated	2027	2023	2024	2024	2014	2024
Sale Date	9/30/2030	6/16/2025	7/23/2025	10/16/2025	10/22/2025	For Sale - $20m List
Sale Price	$25,753,845	$7,375,000	$20,000,000	$40,000,000	$35,750,000	$20,000,000
Sale Price Per Unit	**$451,822**	**$567,308**	**$512,821**	**$421,053**	**$452,532**	**$571,429**
Cap Rate	5.75%	-	6.00%	6.39%	-	5.67%

Development Team

Belgravia Group	Co-Developer	http://belgraviagroup.com/
Monroe Residential Partners	Co-Developer	https://monroeresidential.com/
3F Construction	General Contractor	https://3fconstruction.net/
Westfield Architects PLLC	Architect	

FOR ADDITIONAL INFORMATION CONTACT US AT:

Drew Friestedt
312-206-6211
drew@monroeresidential.com

Michael Obloy
312-296-4855
mike@monroeresidential.com

Jonathan W. McCulloch
312-561-5253
jonathan@belgraviagroup.com

Alan D. Lev
312-561-5253
jonathan@belgraviagroup.com